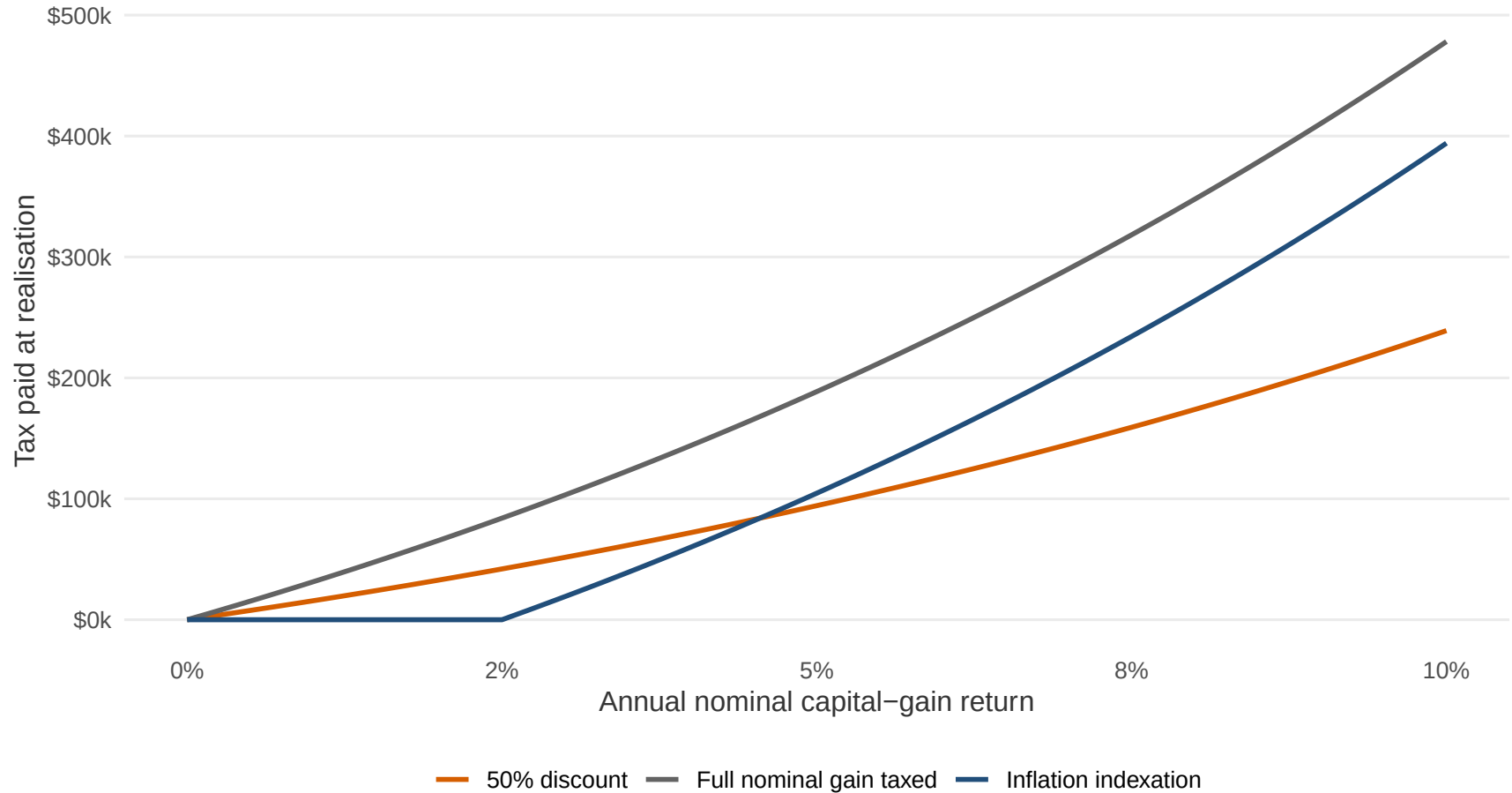


Tax paid on the same asset

Indexation taxes only the real gain; the discount taxes half the nominal gain



Asset cost base: \$1,000,000. Held for 10 years. Inflation: 2.5% per year. Tax rate: 30%.